

FEDERAL MARITIME COMMISSION

Statement of the Commission

On Class Action Complaints

Docket No. 24-29

Issued January 2, 2025

The Commission has long recognized that private party complaints brought under Chapter 413 of Title 46 of the United States Code serve a vital role. Private party actions are “important to alerting the Commission to potential violations of statutes and Commission regulations, clarifying the lines between lawful and unlawful conduct, facilitating the development of Commission precedent, and deterring unfair and unreasonable conduct by carriers, marine terminal operators, and intermediaries.”¹

Likewise, the Commission also understands “that litigation has costs in terms of time, attention, money, and relationships,” and parties may therefore choose not to bring otherwise valid claims. Imbalances in power and resources often discourage parties from bringing complaints, particularly where the potential monetary recovery is small.² Acknowledging this reality, the Commission previously issued a statement clarifying that “any person” may file a complaint with the Commission, including a person or entity representing others, “to protect others from potentially unlawful conduct.”³

The Commission now seeks to clarify that class actions, another form of representative legal action, are not precluded by Title 46 or the Commission’s interpretation of the statute.⁴ Pursuant to its authority under 46 C.F.R. § 502.12, the Commission may follow the Federal Rules of Civil Procedure “for situations which are not covered by a specific Commission rule . . . to the extent that they are consistent with sound administrative practice.” Rule 23 of the Federal Rules of Civil Procedure governs class actions brought in federal courts.⁵ The Commission may use those procedures to evaluate class action complaints filed with the Commission because the requirements under § 502.12 are satisfied.

The Commission has not to date adopted any rules governing class actions in proceedings before the Commission nor would allowing class actions conflict with any Commission rule. Class action proceedings before the Commission are consistent with sound administrative practice. The Administrative Conference of the United States recommends that federal agencies engaged in adjudications of claims should “consider whether or how to use or improve their use of

¹ See Docket No. 21-13: *Statement on Representative Complaints* at 1 (Dec. 28, 2021), available at https://www2.fmc.gov/ReadingRoom/docs/21-13/21-13_Representative_Complaints.pdf/.

² *Id.* at 3.

³ *Id.*

⁴ See *Mar-Mol Co. and CopyCorp v. Sea-Land Servs., Inc.*, 27 S.R.R. 1085, 1089-90 (FMC 1997) (“Rule 23 of the Federal Rules of Civil Procedure provides the mechanism by which a class action can be undertaken. Furthermore, Commission procedural rules do not preclude litigants using the class action Rule.”).

⁵ Fed. R. Civ. P. 23, available at https://www.law.cornell.edu/rules/frcp/rule_23.

aggregation,” including formal claim aggregation in line with Federal Rule of Civil Procedure 23.⁶ The recommendation found that federal agencies that have embraced claim aggregation have reaped benefits such as “achieving greater equality in outcomes, and securing the kind of expert assistance high volume adjudication attracts.”⁷ Furthermore, class actions before the Commission, like in federal court, can “enhance the efficacy of private actions by permitting citizens to combine their limited resources to achieve a more powerful litigation posture.”⁸

The Commission recognizes that there may be initial challenges adjudicating class action complaints without the benefit of precedent at the Commission. However, there is well-developed precedent across federal courts applying Federal Rule of Civil Procedure 23 that can guide litigants and Commission adjudications. The Commission will continue to carefully assess whether it should adopt its own procedural rules governing class actions as such cases proceed at the Commission.

By the Commission.

David Eng
Secretary

⁶ See Admin. Conf. of the U.S., Recommendation 2016-2, Aggregation of Similar Claims in Agency Adjudication, 81 Fed. Reg. 40260 (June 21, 2016).

⁷ See *id.*

⁸ See *Hawaii v. Standard Oil Co. of Cal.*, 405 U.S. 251, 266 (1972).